5. Require Competing Consolidators to Submit Form CC in the EDGAR System Using the Inline XBRL Format

The Commission considered the alternative of requiring competing consolidators to submit Form CC using the Commission's EDGAR system and using the Inline XBRL format.[2534] Relative to the adopted rules, these requirements could benefit market participants by facilitating retrieval, aggregation, and comparison of disclosed information across competing consolidators. The requirements could also allow a competing consolidator to efficiently benchmark key aspects of its operations (e.g., operational capabilities or fee structures) against the rest of the potential competing consolidator population.

However, many potential competing consolidators may not be familiar with Inline XBRL and thus could incur increased costs if they were required to learn Inline XBRL and apply Inline XBRL tags to their Form CC disclosures, compared to the adopted rules' requirement to submit Form CC and various exhibits through EFFS—a system with which some of the competing consolidators subject to Form CC filing requirements may already be familiar.[2535] For the reasons discussed above, the Commission is requiring Form CC to be filed through EFFS.[2536]

[2534] One commenter stated that an XBRL requirement would be acceptable, as would the proposed EFFS filing location. See Data Boiler Letter I at 96 ("We are good with XBRL if that is needed.") and 50 ("EFFS is fine, no further comment.").

[2535] The Commission estimates that 3 of the estimated 8 competing consolidators that will be subject to Form CC filing requirements under Rule 614(a)(1) under the adopted rules are already SCI entities. See supra Section IV.G.3. These entities currently use EFFS to file Form SCI.

[2536] See supra Section III.C.7(b).

6. Require Competing Consolidators to Submit Monthly Disclosures in the EDGAR System Using the Inline XBRL Format

The Commission considered the alternative of requiring competing consolidators to submit their monthly performance metrics and operational information using the Commission's EDGAR system and using the Inline XBRL format.[2537] Relative to the adopted rules, this alternative could benefit market participants by having the monthly information of each competing consolidator in a centralized location. Additionally, the alternative could facilitate retrieval, aggregation, and comparison of disclosed information across competing consolidators and time periods.

However, competing consolidators would incur increased costs to file the information with the Commission compared to the adopted rules' requirement to post the monthly information on the competing consolidator's website without a format requirement. The difference in costs would likely vary across competing consolidators, depending on the systems and processes they currently have in place, such as for internal reporting, posting of website updates, and submission of regulatory filings, and the manner in which competing consolidators currently maintain data required for the additional disclosures. In addition, similar to submitting Form CC information on EDGAR using the Inline XBRL format, competing consolidators would be required to incur the additional costs of learning Inline XBRL under the alternative when compared to the adopted rules. For the reasons discussed above, the Commission is

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[2537] One commenter expressed that XBRL would be acceptable, but also stated that website publication would be acceptable. See Data Boiler Letter I at 96 ("We are good with XBRL if that is needed.") and 53 ("We are okay with the publishing requirement.").

requiring monthly disclosures to be posted on competing consolidator websites without a format requirement.[2538]

7. Prescribing the Format of NMS Information

The Commission considered an alternative in which it would prescribe a single format that SROs would use to provide NMS information to competing consolidators and self-aggregators. Each SRO would still be required to make all methods of access available to competing consolidators and self-aggregators as such SRO makes available to any other person.[2539] Each SRO would still be able to offer proprietary data products in other formats.

By prescribing the format, the Commission could better ensure consistency of the data. Compared to the adopted rule, a standard format could reduce the costs for competing consolidators and self-aggregators to aggregate the data to create consolidated market data. However, the Commission believes that these costs may not be significantly reduced. As discussed above, the SROs currently use a variety of formats for their proprietary data feeds and some broker-dealers, market data aggregators, and the exclusive SIPs are already adept and experienced in aggregating and normalizing the data across different formats.[2540] Therefore, some potential competing consolidators and self-aggregators may not experience significant cost reductions relative to the adopted rule if the Commission required that SROs provide NMS information in a prescribed format.

Requiring a single format for SROs to deliver NMS information to competing consolidators and self-aggregators would also increase the costs to SRO's compared to the

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2538 See supra Section III.C.8(c).

2539 See Proposing Release, 85 FR at n.428.

2540 See supra Section V.B.2(b).

adopted rule. SROs would incur a greater cost to conform their existing data to a format they do not already use. It could also increase the costs of exchanges making future changes to their data because they may need to make alterations to both their proprietary data products and to data in the standard format they would supply to competing consolidators and self-aggregators, assuming the changes would need to be included in consolidated market data. Additionally, compared to the adopted rule, this increased cost could reduce the likelihood that the effective national market systems plan(s) for NMS stocks or SROs introduce additional elements into consolidated data in the future.[2541]

Requiring the SROs to deliver data to competing consolidators and self-aggregators in a single format could also impact the latency between consolidated market data and aggregated proprietary DOB feeds. On one hand, receiving all of the data in a single format should expedite the aggregation and normalization process for consolidated data. This could potentially reduce the latency differential between consolidated market data and aggregated proprietary data feeds compared to the adopted rule. However, it is possible that the format of certain proprietary data feeds may allow for faster aggregation initially than the single format specified by the Commission because of certain SROs' existing familiarity with its format. If this occurred, it could increase the latency differential compared to the amendments.

In addition, if the SROs are required to transform their existing data to a different format, it could hinder the timeliness of the data competing consolidators receive compared to data delivered via the proprietary feeds. Any changes in the timeliness with which the competing consolidators receive the data or any difference in latency between consolidated core data and proprietary data feeds would affect the viability of consolidated core data as a substitute for

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[2541] See Proposing Release, 85 FR at Sections III.C, III.D.

proprietary data feeds and affect many of the benefits of the decentralized consolidation model.[2542] If the latency differential is reduced, more market participants may substitute consolidated market data for proprietary data feeds and the benefits of the decentralized consolidation model could increase compared to the amendments. If competing consolidators receive less timely data or the latency differential increases, fewer market participants would switch to consolidated market data and the benefits would be smaller than under the adopted rule.

VI. Regulatory Flexibility Certification

The Regulatory Flexibility Act ("RFA")[2543] requires Federal agencies, in promulgating rules, to consider the impact of those rules on small entities. Section 603(a)[2544] of the Administrative Procedure Act,[2545] as amended by the RFA, generally requires the Commission to undertake a regulatory flexibility analysis of all proposed rules to determine the impact of such rulemaking on "small entities."[2546] Section 605(b) of the RFA states that this requirement shall not apply to any proposed rule or proposed rule amendment which, if adopted, would not have a significant economic impact on a substantial number of small entities. The Commission certified

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2542 See supra Section V.C.2(c).

2543 5 U.S.C. 601 et seq.

2544 5 U.S.C. 603(a).

2545 5 U.S.C. 551 et seq.

2546 Although Section 601(b) of the RFA defines the term "small entity," the statute permits agencies to formulate their own definitions. The Commission has adopted definitions for the term "small entity" for purposes of Commission rulemaking in accordance with the RFA. Those definitions, as relevant to this proposed rulemaking, are set forth in Rule 0-10, 17 CFR 240.0-10.

in the Proposing Release, pursuant to Section 605(b) of the RFA, that the proposed rules would not, if adopted, have a significant economic impact on a substantial number of small entities.[2547] The Commission received no comments on this certification.

The amendments to Rules 600 and 603 and the new Rule 614 apply to national securities exchanges registered with the Commission under Section 6 of the Exchange Act, national securities associations registered with the Commission under Section 15A of the Exchange Act, and competing consolidators. None of the exchanges registered under Section 6 that will be subject to the proposed amendments are "small entities" for the purposes of the RFA.[2548] There is only one national securities association, and the Commission has previously stated that it is not a small entity as defined by 13 CFR 121.201.[2549] For purposes of the Commission rulemaking in connection with the RFA[2550] as it relates to competing consolidators, a small entity includes a SIP that "(1) Had gross revenues of less than $10 million during the preceding fiscal year (or in the time it has been in business, if shorter); (2) Provided service to fewer than 100 interrogation devices or moving tickers at all times during the preceding fiscal year (or in the time that it has

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2547 See 5 U.S.C. 605(b).

2548 See 17 CFR 240.0-10(e). Paragraph (e) of Rule 0-10 states that the term "small business," when referring to an exchange, means any exchange that has been exempted from the reporting requirements of Rule 601 of Regulation NMS, 17 CFR 242.601, and is not affiliated with any person (other than a natural person) that is not a small business or small organization as defined in Rule 0-10. Under this standard, none of the exchanges subject to the amendments to Rules 600 or 603(b) or to Rule 614 are "small entities" for the purposes of the RFA. See Proposing Release, 85 FR at n.1219.

2549 See, e.g., Securities Exchange Act Release No. 62174 (May 26, 2010), 75 FR 32556, 32605 n.416 (June 8, 2010) ("FINRA is not a small entity as defined by 13 CFR 121.201.").

2550 See supra note 2546.

been in business, if shorter); and (3) Is not affiliated with any person (other than a natural person) that is not a small business or small organization under this section."[2551]

Based on the Commission's information about the 10 potential entities the Commission estimates may become competing consolidators, the Commission believes that all such entities will exceed the thresholds defining "small entities" set out above. Competing consolidators will be participating in a sophisticated business that requires significant resources to compete effectively. For example, as noted above, the Commission estimates that new entrants to the competing consolidator market—entities without prior experience in the business of collecting, consolidating, and disseminating market data—will incur initial startup costs of $2,683,000,[2552] and each competing consolidator will incur total ongoing annual costs of $5,141,895 per entity.[2553] While other competing consolidators may emerge and seek to register as competing consolidators with the Commission, the Commission does not believe that any such entities would be "small entities" as defined in 17 CFR 240.0-10(g). Accordingly, the Commission believes that any such registered competing consolidators will exceed the thresholds for "small entities" set forth in 17 CFR 240.0-10.

For the reasons described above, the Commission certifies that the amendments to Rules 600 and 603 and the new Rule 614 will not have a significant economic impact on a substantial number of small entities.

2551 17 CFR 240.0-10(g).

2552 See supra note 1491 and accompanying text.

2553 See supra note 1526 and accompanying text.

VII. Other Matters

Pursuant to the Congressional Review Act,[2554] the Office of Information and Regulatory Affairs has designated these rules as a "major rule," as defined by 5 U.S.C. 804(2). If any of the provisions of these final rules, or the application thereof to any person or circumstance, is held to be invalid, such invalidity shall not affect other provisions or application of such provisions to other persons or circumstances that can be given effect without the invalid provision or application.

VIII. Statutory Authority

Pursuant to the Exchange Act, and particularly Sections 3(b), 5, 6, 11A, 15, 17, and 23(a) thereof, 15 U.S.C. 78c, 78e, 78f, 78k-1, 78*o*, 78q, and 78w(a), the Commission is amending Sections 240.3a51-1, 240.13h-1, 242.105, 242.201, 242.204, 242.600, 242.602, 242.603, 242.611, and 242.1000 of chapter II of title 17 of the Code of Federal Regulations and adopts Rule 614, as set forth below.

List of Subjects

17 CFR Part 240

Brokers, Dealers, Registration, Securities.

17 CFR Part 242 and 249

Brokers, Reporting and recordkeeping requirements, Securities.

Text of the Amendments

For the reasons stated in the preamble, the Commission is amending title 17, chapter II of the Code of Federal Regulations as follows:

[2554] 5 U.S.C. 801 et seq.

PART 240 – GENERAL RULES AND REGULATIONS, SECURITIES EXCHANGE ACT OF 1934

1. The authority citation for part 240 continues to read, in part, as follows:

Authority: 15 U.S.C. 77c, 77d, 77g, 77j, 77s, 77z-2, 77z-3, 77eee, 77ggg, 77nnn, 77sss, 77ttt, 78c, 78c-3, 78c-5, 78d, 78e, 78f, 78g, 78i, 78j, 78j-1, 78k, 78k-1, 78*l*, 78m, 78n, 78n-1, 78*o*, 78*o*-4, 78*o*-10, 78p, 78q, 78q-1, 78s, 78u-5, 78w, 78x, 78*ll*, 78mm, 80a-20, 80a-23, 80a-29, 80a-37, 80b-3, 80b-4, 80b-11, and 7201 *et seq.*, and 8302; 7 U.S.C. 2(c)(2)(E); 12 U.S.C. 5221(e)(3); 18 U.S.C. 1350; Pub. L. 111-203, 939A, 124 Stat. 1376 (2010); and Pub. L. 112-106, sec. 503 and 602, 126 Stat. 326 (2012), unless otherwise noted.

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§240.3a51-1 [Amended].

2. Amend §240.3a51-1 by, in paragraph (a), removing the text "§242.600(b)(48)" and adding in its place "§242.600(b)(55)".

§240.13h-1 [Amended].

3. Amend §240.13h-1 by, in paragraph (a)(5), removing the text "§242.600(b)(47)" and adding in its place "§242.600(b)(54)".

PART 242 – REGULATIONS M, SHO, ATS, AC, NMS, AND SBSR AND CUSTOMER MARGIN REQUIREMENTS FOR SECURITY FUTURES

4. The authority citation for part 242 continues to read as follows:

Authority: 15 U.S.C. 77g, 77q(a), 77s(a), 78b, 78c, 78g(c)(2), 78i(a), 78j, 78k-1(c), 78*l*, 78m, 78n, 78*o*(b), 78*o*(c), 78*o*(g), 78q(a), 78q(b), 78q(h), 78w(a), 78dd-1, 78mm, 80a-23, 80a-29, and 80a-37.

§242.105 [Amended].

5. Amend §242.105 by:

a. In paragraph (b)(1)(i)(C) removing the text "§242.600(b)(23)" and adding in its place "§242.600(b)(30)" and

b. In paragraph (b)(1)(ii) removing the text "§242.600(b)(68)" and adding in its place "§242.600(b)(77)".

§242.201 [Amended].

6. Amend §242.201 by:

a. In paragraph (a)(1) removing the text "§242.600(b)(48)" and adding in its place "§242.600(b)(55)";

b. In paragraph (a)(2) removing the text "§242.600(b)(23)" and adding in its place "§242.600(b)(30)";

c. Amending paragraph (a)(3) by removing the text "the term "listing market" as defined in the effective transaction reporting plan for the covered security" and adding in its place "the term "primary listing exchange" as defined in §242.600(b)(68)";

d. In paragraph (a)(4) removing the text "§242.600(b)(43)" and adding in its place "§242.600(b)(50)";

e. In paragraph (a)(5) removing the text "§242.600(b)(51)" and adding in its place "§242.600(b)(58)";

f. In paragraph (a)(6) removing the text "§242.600(b)(59)" and adding in its place "§242.600(b)(67)";

g. In paragraph (a)(7) removing the text "§242.600(b)(68)" and adding in its place "§242.600(b)(77)"; and